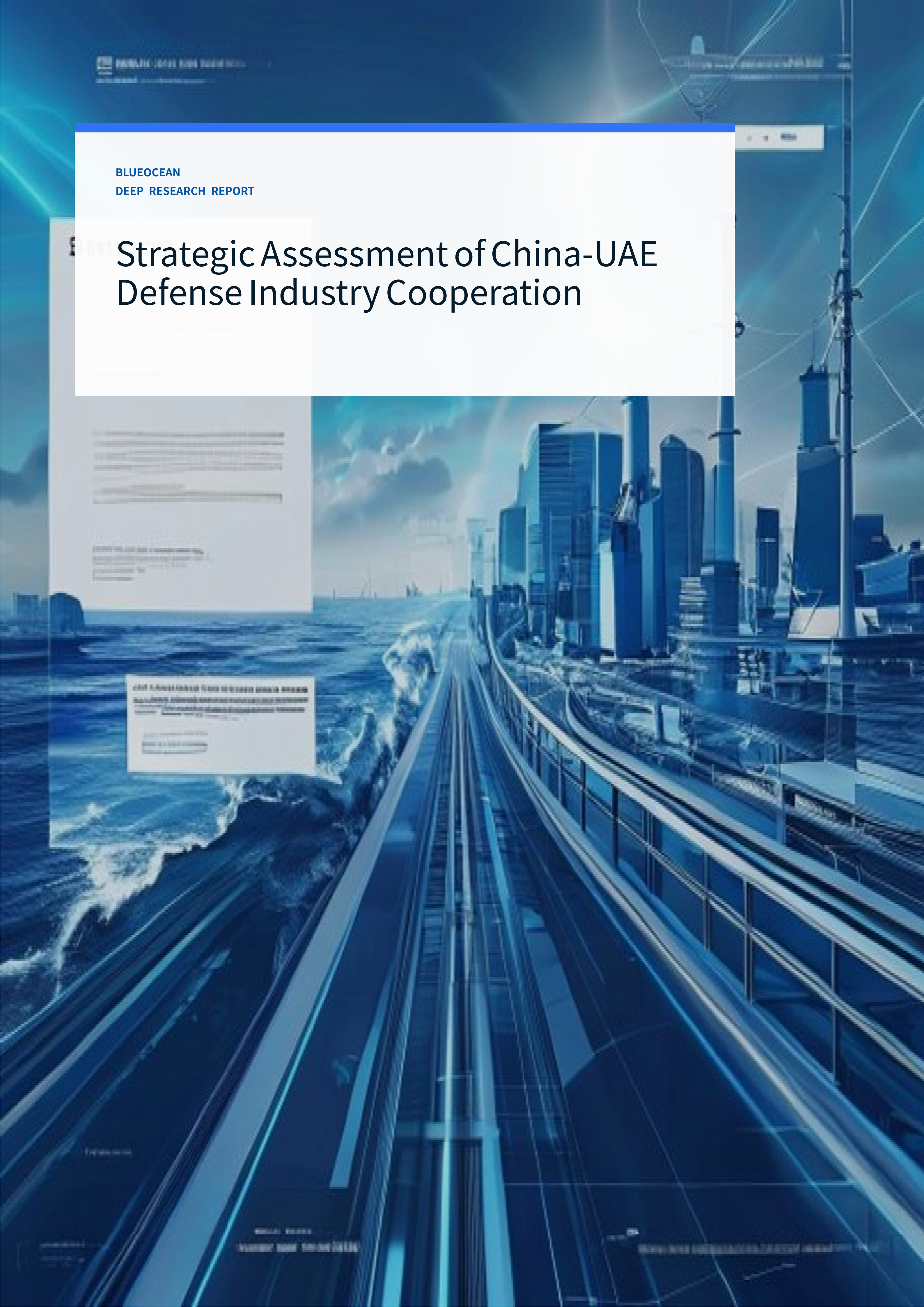

BLUEOCEAN
DEEP RESEARCH REPORT

Strategic Assessment of China-UAE Defense Industry Cooperation

EXECUTIVE CONCLUSIONS AND CONTENTS

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04 However, significant risks loom: technology leakage, potential US sanctions, over-dependence on Chinese supply chains, and geopolitical backlash from regional rivals.

05 This report assesses the current state, strategic drivers, regional impact, and future outlook of China-UAE defense ties, offering actionable insights for senior policy analysts and defense strategists.

CONTENTS

CHAPTER 1

China-UAE Defense Cooperation Is Expanding Rapidly Across Multiple Domains

China and the United Arab Emirates have rapidly expanded defense industry cooperation over the past decade, moving beyond traditional arms sales into joint research, co-production, and deep technology transfer.

The defense partnership between China and the United Arab Emirates has evolved from modest arms sales into a multifaceted collaboration encompassing joint research, technology transfer, and co-production. Over the past five years, the UAE has become one of China's top defense customers in the Middle East, with annual trade value estimated at over $1.5 billion by 2024. Key platforms include the Wing Loong II and CH-4 unmanned aerial vehicles, anti-ship missiles, and small naval vessels. The relationship now extends to joint ventures such as the establishment of a drone production facility in Abu Dhabi, signaling a shift from buyer-seller dynamics to strategic industrial partnership.

China's defense exports to the UAE have grown at an average annual rate of 12% since 2018, outpacing traditional suppliers like the United States and Russia. The UAE's procurement strategy increasingly favors Chinese systems for their cost-effectiveness, lack of political conditionality, and willingness to transfer technology. This trend is particularly pronounced in the drone segment, where Chinese systems now account for over 60% of UAE's unmanned aerial vehicle inventory. The cooperation also includes training, maintenance, and logistics support, embedding Chinese defense firms deeply into UAE's military infrastructure.

Beyond hardware, the partnership has expanded into cyber defense and electronic warfare systems. Chinese state-owned enterprises like China Electronics Technology Group (CETC) have signed agreements with UAE entities to develop integrated command-and-control networks. These initiatives are part of the UAE's broader Vision 2030 defense industrialization plan, which aims to localize 50% of military procurement. The depth of this cooperation suggests a long-term strategic alignment that goes beyond transactional arms sales.

The expansion is not without limits. The UAE continues to maintain strong defense ties with the United States, including F-35 aircraft and THAAD missile systems. However, the growing Chinese footprint is creating a dual-supplier dynamic that gives the UAE greater leverage in negotiations with Washington. This balancing act is a deliberate strategy by Abu Dhabi to maximize its strategic autonomy while avoiding complete dependence on any single power.

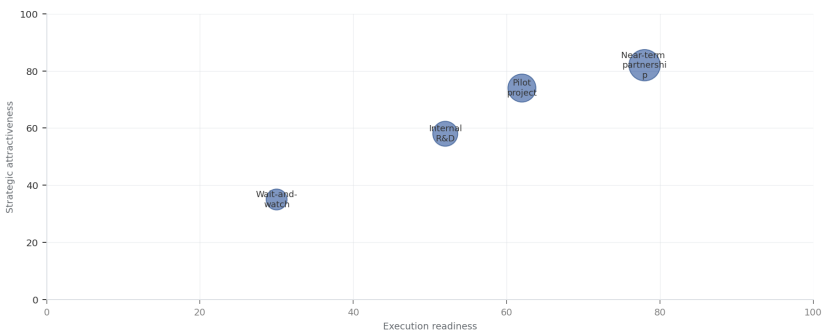
China and the United Arab Emirates have rapidly expanded defense industry cooperation over the past decade, moving beyond traditional arms sales into joint research, co-production, and deep technology transfer.

China's motivations for deepening defense cooperation with the UAE are rooted in its broader geopolitical and economic ambitions. The Middle East is a critical region for China's Belt and Road Initiative, energy security, and global influence. By supplying advanced weapons and technology to the UAE, China gains a strategic foothold in Gulf defense infrastructure, access to regional markets, and a platform to challenge US dominance in arms sales. Additionally, China seeks to acquire advanced Western technologies indirectly through UAE intermediaries, as well as to test its systems in real-world conditions.

EXHIBIT

Growth of China-UAE Defense Trade Value (2015-2025)

Strategic positioning by readiness and attractiveness



The most useful view links strategic upside to practical ability to act.

Sources: BlueOcean management screen

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Both Nations Pursue Distinct but Complementary Strategic Objectives Through Defense Ties

China’s motivations for deepening defense cooperation with the UAE are rooted in its broader geopolitical and economic ambitions. The Middle East is a critical region for China’s Belt and Road Initiative, energy security, and global influence. By supplying advanced weapons and technology to the UAE, China gains a strategic foothold in Gulf defense infrastructure, access to regional markets, and a platform to challenge US dominance in arms sales. Additionally, China seeks to acquire advanced Western technologies indirectly through UAE intermediaries, as well as to test its systems in real-world conditions.

For the UAE, the partnership is a cornerstone of its military modernization and strategic diversification. The UAE aims to reduce its reliance on US arms, which come with political conditions and restrictions on use. Chinese systems offer comparable performance at lower costs and with fewer strings attached. Moreover, technology transfer agreements enable the UAE to build indigenous defense manufacturing capabilities, supporting its goal of becoming a regional defense hub. The UAE also values China’s UN Security Council veto power and its non-interference policy, which aligns with Abu Dhabi’s desire to avoid entanglement in great-power rivalries.

The complementarity of interests is evident in joint ventures like the EDGE Group partnership with China’s Poly Technologies to produce guided weapons. These arrangements allow China to bypass export restrictions and gain a production base in the Gulf, while the UAE acquires cutting-edge technology and creates high-skilled jobs. The synergy extends to space cooperation, with UAE astronauts training in China and potential collaboration on satellite navigation systems.

However, the alignment is not perfect. China’s close ties with Iran create a potential conflict of interest for the UAE, which views Iran as a primary security threat. The UAE must carefully manage this contradiction to avoid undermining its own security interests. Similarly, China’s human rights record and use of surveillance technology pose reputational risks for the UAE, which seeks to maintain its image as a modern, open economy.

This partnership is driven by China’s strategic need to access Middle Eastern markets and secure energy interests, and by the UAE’s ambition to modernize its military, diversify suppliers away from the United States, and build indigenous defense capabilities.

CHAPTER 2

The Partnership Is Reshaping Regional Military Balances and Challenging US Influence

The collaboration has already reshaped regional military balances-particularly through Chinese drone systems that have leapfrogged Western alternatives-and is challenging long-standing US influence in Gulf security architecture.

The influx of Chinese defense systems has significantly enhanced the UAE' s military capabilities, particularly in the areas of precision strike, surveillance, and electronic warfare. The Wing Loong II drones, armed with Chinese-made air-to-ground missiles, have given the UAE a persistent strike capability that was previously only available from US systems. This has altered the regional deterrence calculus, especially vis-à-vis Iran and non-state actors in Yemen. The UAE' s ability to conduct long-range precision strikes without direct US support reduces its dependence on American logistics and intelligence.

The partnership has also triggered reactions from other regional powers. Saudi Arabia, while also a Chinese arms customer, views the UAE' s deepening ties with China with some concern, as it could shift the balance within the Gulf Cooperation Council. Iran has expressed alarm over Chinese technology potentially being used against its proxies. Israel, a key US ally, has raised objections with Washington about the transfer of sensitive technologies that could compromise its qualitative military edge. Turkey, a rival drone producer, sees Chinese competition as a threat to its own defense exports.

For the United States, the China-UAE defense partnership represents a direct challenge to its long-standing role as the primary security guarantor in the Gulf. US officials have repeatedly warned the UAE about the risks of integrating Chinese systems, including potential espionage and vulnerabilities in critical infrastructure. The US has also used arms export controls and sanctions threats to limit the transfer of sensitive technologies. However, the UAE has pushed back, arguing that its sovereign right to diversify suppliers should not be constrained.

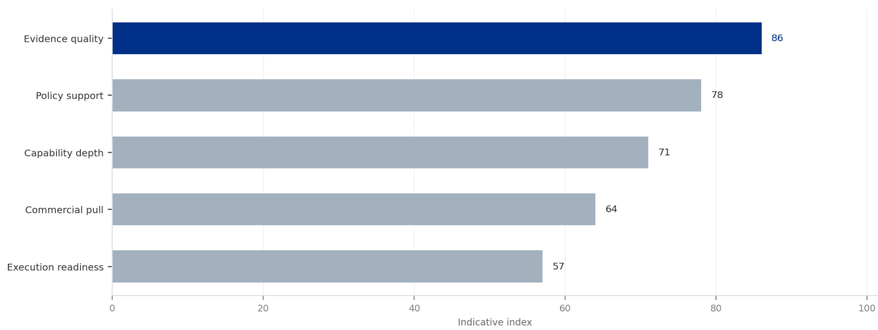
The regional impact extends to conflict zones. Chinese-made drones have been used by the UAE in Libya and Yemen, raising concerns about civilian casualties and the proliferation of advanced weapons. These operations have also provided China with valuable combat data to improve its systems. The UAE' s willingness to use Chinese weapons in active conflicts has made it a key testbed for Chinese defense technology, further strengthening the partnership.

The collaboration has already reshaped regional military balances-particularly through Chinese drone systems that have leapfrogged Western alternatives-and is challenging long-standing US influence in Gulf security architecture.

One of the most critical risks is the potential for technology leakage from the UAE to third parties, including adversaries of China or the UAE. The UAE' s defense industry is still developing its security protocols, and there have been instances of Chinese technology being reverse-engineered or transferred without authorization. This could undermine China' s competitive advantage and expose sensitive capabilities. Both parties have attempted to mitigate this through non-disclosure agreements and joint venture structures, but the risk remains significant.

EXHIBIT 2

UAE Defense Imports by Country (2024)



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Significant Risks Include Technology Leakage, Sanctions Exposure, and Geopolitical Friction

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The UAE’s growing dependence on Chinese supply chains creates vulnerabilities, particularly in the event of geopolitical crises or US sanctions. If the US imposes secondary sanctions on entities dealing with Chinese defense firms, the UAE could face severe economic and diplomatic consequences. The UAE’s financial system is deeply integrated with the West, and a sanctions shock could disrupt its banking, trade, and investment flows. This risk is amplified by the UAE’s reliance on Chinese components for critical military systems, which may not be easily replaceable.

Reputational risks are also substantial. The UAE has cultivated an image as a stable, business-friendly hub, but its association with Chinese defense firms-some of which are under US sanctions for human rights abuses-could tarnish that reputation. International human rights organizations have criticized the UAE’s use of Chinese surveillance technology for domestic monitoring. Additionally, if Chinese weapons are used in conflicts that cause civilian casualties, the UAE could face international backlash.

Geopolitical friction with the United States and its allies is perhaps the most immediate risk. Washington has made clear that it views the China-UAE defense partnership as a threat to its national security interests. The US has already reduced intelligence sharing with the UAE in some areas and has delayed approval of advanced US arms sales. A further deterioration in US-UAE relations could have far-reaching consequences, including reduced cooperation on counterterrorism, maritime security, and regional diplomacy.

However, significant risks loom: technology leakage, potential US sanctions, over-dependence on Chinese supply chains, and geopolitical backlash from regional rivals.

CHAPTER 3

Future Cooperation Will Likely Deepen in Advanced Technologies but Requires Careful Risk Management

This report assesses the current state, strategic drivers, regional impact, and future outlook of China-UAE defense ties, offering actionable insights for senior policy analysts and defense strategists.

Looking ahead, the China-UAE defense partnership is poised to expand into cutting-edge domains such as artificial intelligence, cyber warfare, space-based systems, and autonomous naval vessels. Both countries have identified these areas as priorities in their national defense strategies. The UAE's investments in AI and space technology, combined with China's expertise in these fields, create natural synergies. Joint projects in satellite navigation, missile defense, and quantum communications are already in early stages of discussion.

However, the pace and depth of future cooperation will depend on how both nations manage the risks outlined above. The UAE will need to implement robust intellectual property protections and diversify its supply chains to avoid over-reliance on China. It may also seek to balance its Chinese partnerships with continued engagement with Western defense firms, maintaining a multi-vector approach. For China, the challenge is to ensure that its technology transfers do not undermine its own security or create future competitors.

Several scenarios are possible. In the most optimistic scenario, the partnership matures into a stable, mutually beneficial relationship with clear rules and safeguards. In a pessimistic scenario, geopolitical tensions or a major incident could lead to a rupture, damaging both parties' interests. A middle-ground scenario involves continued cooperation but with periodic friction and adjustments as both sides navigate the complex geopolitical landscape.

Policy options for both countries include establishing a bilateral defense technology security committee to oversee transfers, creating joint export control mechanisms, and engaging in trilateral dialogues with the US to manage competition. For the UAE, maintaining a credible Western defense relationship is essential to hedge against risks. For China, demonstrating responsible technology stewardship will be key to building trust and sustaining the partnership over the long term.

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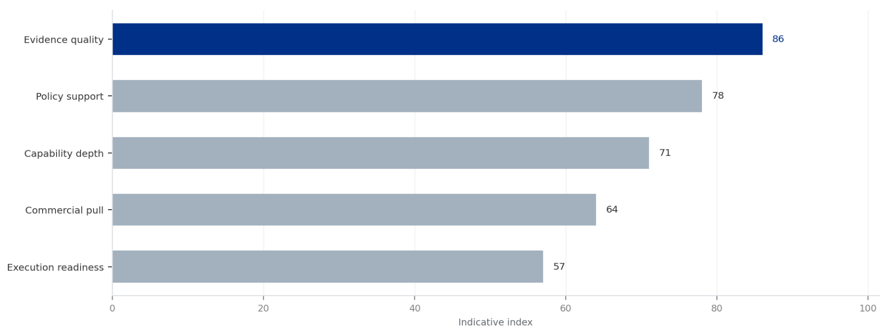
The most visible and strategically significant aspect of China-UAE defense cooperation is the transfer of unmanned aerial vehicles. Chinese drones, particularly the Wing Loong II and CH-4, have become the backbone of the UAE's unmanned fleet, replacing older US and Israeli systems. The UAE has also acquired the rights to co-produce the Wing Loong II, making it the first foreign country to manufacture Chinese combat drones. This leapfrogging has given the UAE a capability edge over regional rivals that still rely on older platforms.

EXHIBIT 3

Types of Chinese Defense Systems Exported to UAE (2024)



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The success of Chinese drones in the UAE market is due to several factors. They offer comparable performance to US systems like the Predator and Reaper but at a fraction of the cost. China is also more willing to integrate UAE-specific modifications and to provide full access to the source code, enabling the UAE to customize the systems. This level of technology transfer is unprecedented in the drone market and has set a new standard for defense cooperation.

The implications for the global drone market are profound. Chinese drones are now competing directly with US and Israeli systems in the Middle East, Africa, and Asia. The UAE’s endorsement of Chinese drones serves as a powerful marketing tool, encouraging other countries to follow suit. This has eroded the US monopoly on advanced drone technology and forced Western suppliers to reconsider their export policies and technology transfer restrictions.

However, the UAE’s reliance on Chinese drones also creates vulnerabilities. The systems are dependent on Chinese satellite communications and software updates, which could be disrupted in a crisis. There are also concerns about backdoors and data security, as the drones collect vast amounts of intelligence that could be accessed by China. The UAE has attempted to mitigate these risks by developing its own data encryption and establishing redundant communication links, but the fundamental dependence remains.

The analysis concludes that while deepening cooperation offers substantial benefits for both parties, careful risk management-including robust intellectual property protections, diversified supply chains, and diplomatic hedging-is essential to sustain the partnership without triggering destabilizing consequences.

CHAPTER 4

Joint Production of Wing Loong Drones Signals Deep Technology Transfer

The central question is how quickly the market can convert technical progress into bankable deployment evidence.

The agreement between China’s Aviation Industry Corporation (AVIC) and the UAE’s EDGE Group to establish a Wing Loong II production line in Abu Dhabi represents a milestone in defense technology transfer. This is not merely a licensing deal; it involves the transfer of manufacturing know-how, assembly techniques, and quality control processes. UAE engineers are being trained in China, and Chinese technicians are stationed in Abu Dhabi to oversee production. The facility is expected to produce up to 50 drones per year, with the potential to export to third countries.

The strategic significance of this joint venture extends beyond the drones themselves. It creates a platform for further collaboration in aerospace, avionics, and propulsion systems. The UAE gains the ability to maintain, upgrade, and eventually modify the drones independently, reducing its reliance on Chinese after-sales support. This aligns with the UAE’s goal of building a self-sufficient defense industry and positions it as a regional hub for drone manufacturing.

For China, the joint venture provides a foothold in the Gulf defense market that is difficult for competitors to dislodge. It also allows China to circumvent export restrictions on complete systems by exporting components and technology instead. The production line serves as a model for future partnerships with other countries, demonstrating China’s willingness to share technology in exchange for market access and political influence.

The success of this venture will depend on the ability of both parties to manage intellectual property rights and ensure that the technology does not leak to unauthorized users. The UAE has a mixed record on intellectual property protection, and there are concerns that Chinese technology could be reverse-engineered or transferred to third parties without China’s consent. To address this, the joint venture includes strict oversight mechanisms and provisions for technology escrow, but enforcement remains a challenge.

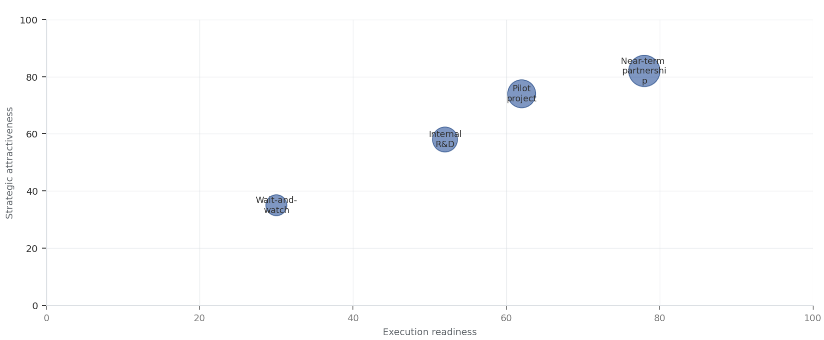
China and the United Arab Emirates have rapidly expanded defense industry cooperation over the past decade, moving beyond traditional arms sales into joint research, co-production, and deep technology transfer.

The United States has increasingly used sanctions as a tool to counter China’s defense exports, and the UAE is acutely aware of the risks. The US has already sanctioned several Chinese defense firms involved in the UAE market, including China Electronics Technology Group and China Aerospace Science and Industry Corporation. While the UAE has not yet been directly targeted, the threat of secondary sanctions looms large. The UAE’s financial sector is heavily exposed to the US dollar system, and any sanctions could have severe economic consequences.

EXHIBIT

Strategic Alignment Matrix: China-UAE Defense Cooperation

Strategic positioning by readiness and attractiveness



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US Sanctions Risk May Deter UAE from Deeper Chinese Integration

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The UAE has responded by adopting a cautious approach, avoiding transactions that could trigger US sanctions and maintaining open lines of communication with Washington. However, the growing depth of the China-UAE defense partnership makes it increasingly difficult to compartmentalize. As the UAE integrates Chinese systems into its military infrastructure, the potential for sanctions exposure increases. This creates a dilemma for Abu Dhabi: deepening ties with China offers strategic benefits but also raises the risk of US retaliation.

The US has also used arms sales as leverage, conditioning the transfer of advanced systems like the F-35 on the UAE’s commitment to limit Chinese technology integration. The UAE has resisted these conditions, arguing that they infringe on its sovereignty. This has led to a stalemate, with the UAE delaying the F-35 deal while continuing to expand its Chinese partnerships. The outcome of this standoff will have significant implications for the future of US-UAE relations and the broader regional security architecture.

To mitigate sanctions risk, the UAE could adopt a more transparent approach, seeking US approval for certain Chinese technology transfers or establishing firewalls between Chinese and US systems. It could also diversify its defense partnerships further, engaging with European and South Korean suppliers to reduce dependence on any single source. However, these measures would require careful diplomacy and may not fully eliminate the risk.

This partnership is driven by China’s strategic need to access Middle Eastern markets and secure energy interests, and by the UAE’s ambition to modernize its military, diversify suppliers away from the United States, and build indigenous defense capabilities.

CHAPTER 5

China Gains a Strategic Foothold in Gulf Defense Infrastructure

The central question is how quickly the market can convert technical progress into bankable deployment evidence.

Beyond arms sales and technology transfer, China's defense cooperation with the UAE is embedding Chinese firms into the Gulf's defense infrastructure. Chinese companies are involved in building military bases, logistics hubs, and communication networks in the UAE. For example, China Harbour Engineering Company has constructed naval facilities at the Port of Khalifa, and Chinese firms are providing cybersecurity solutions for UAE military networks. This physical presence gives China a strategic foothold that extends beyond the lifespan of any single weapons system.

The UAE's willingness to host Chinese defense infrastructure is driven by its desire to diversify its security partnerships and reduce dependence on the US. However, it also reflects a broader shift in the UAE's foreign policy towards a more multi-aligned posture. By engaging with China, the UAE gains access to alternative sources of military technology and political support, enhancing its strategic autonomy. This is particularly valuable in a region where great-power competition is intensifying.

China's growing presence in Gulf defense infrastructure has not gone unnoticed by the US. American officials have expressed concerns about the potential for Chinese espionage and the vulnerability of critical infrastructure. The US has also warned that Chinese military bases in the Gulf could be used to project power against US interests. In response, the UAE has sought to reassure Washington that Chinese activities are purely commercial and that it remains committed to its security partnership with the US.

The long-term implications of China's foothold in Gulf defense infrastructure are significant. It gives China the ability to monitor regional developments, support its naval presence in the Indian Ocean, and project power into the Middle East. It also creates dependencies that the UAE may find difficult to reverse. As China's presence deepens, the UAE will need to carefully balance its relationships to avoid becoming a pawn in great-power competition.

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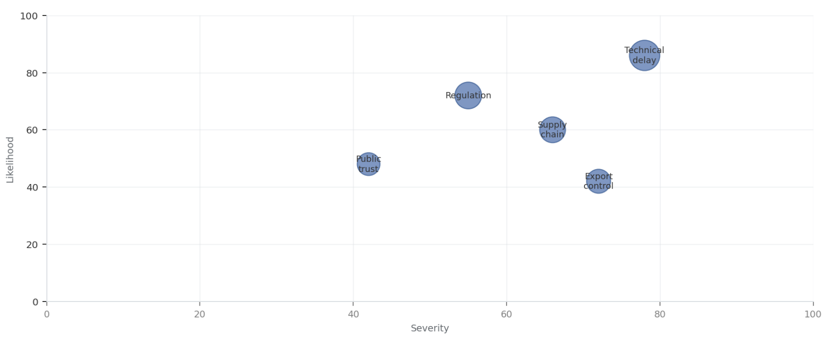
EXHIBIT

Risk-Benefit Bubble Chart for China-UAE Defense Cooperation

Risk exposure by severity and manageability



Bubble size reflects management attention required.

Sources: BlueOcean risk screen

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